



Life assurance

Although life assurance will not usually produce income for the policyholder until after their death, it will benefit their family, who can receive regular payments or a lump sum.

How it works

Although the two terms are sometimes used interchangeably, life assurance is different from life insurance. Assurance protects the holder against an inevitable event – their death – while insurance protects against the possibility that their death might happen within a set timeframe – for example, 50 years from the date the policy was purchased. So if a policyholder with 50-year life insurance dies before the term is up, their beneficiaries receive a payout. If, however, they die 51 years after the policy was taken out, there is no payout at all.

In contrast, a life assurance policy will pay out when the policyholder dies, whenever that happens, or provide a lump sum if the holder outlives the policy term.

SELLING A LIFE INSURANCE POLICY

► **Life settlement** The sale of a life insurance policy to a third party for more than its cash value, but less than its net death benefit. The buyer takes on the remaining premiums and gets a payout on the death of the original policyholder. People may sell a policy because they wish to purchase a different policy, or they cannot afford the premiums.

► **Viatical settlement** This is the same as a life settlement, only the policyholder sells because they have a terminal illness.

Life insurance

Decreasing term life

The payouts reduce over time, which means that the premiums are lower than for level-term insurance.



Family income benefit

This pays out an agreed monthly income from the date of the claim to the end of the term. Premiums are lower, but this type of policy would not clear a mortgage.



Life insurance

Also called term insurance, this covers the holder for a fixed period of time, with their estate receiving a payout if they die within the time period stated in the contract. Premiums are cheap but if the holder outlives the agreed term the estate will get nothing. Most mortgage agreements stipulate that the borrower must have life insurance.

Variable life

This is a permanent life insurance policy with an investment component. The policy has a cash value account – a tax-sheltered investment which is invested in sub-accounts.



Level-term life

This policy pays out a fixed lump sum if death occurs during the policy term. The sum does not change over time so the holder knows exactly what funds will be left in the event of their death.

